

Primary Auction Note – June 2021

In a bid to raise **30 Billion,** Central Bank of Kenya is issuing two bonds, re-opened the **FXD1/2019/20 (17.9 Years)** and **FXD1/2012/20 (11.4 Years)**. The coupon rate for the bond **FXD1/2019/20** is **12.873%** while for **FXD1/2012/20** is **12.00%**. The period of sale for the bond runs from **02/06/2021** to **15/06/2021.** The bonds will attract a withholding tax of 10%.

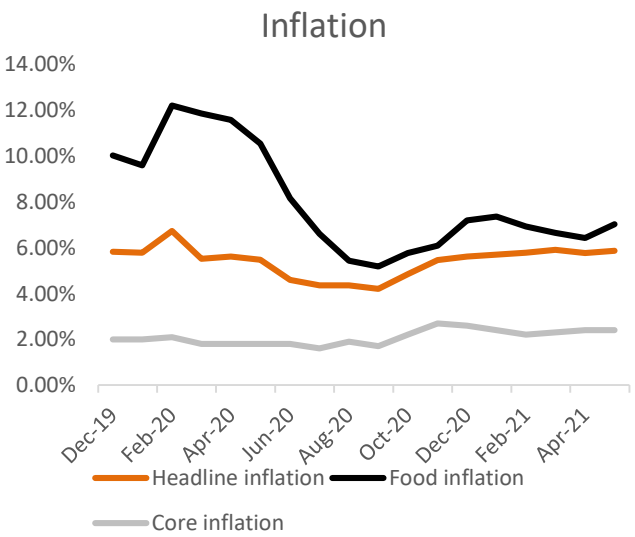
Improved money market liquidity: We expect elevated subscription rates as liquidity in the money market has increased. This is likely to be the last bond auction in FY2020/21 and we believe that the government will be keen on closing out the year without any further budgetary consideration.

We advise investors to bid within the range of 13.30% to 13.49% for the FXD1/2019/20-(17.9yr), and **12.58%** to **12.74%** for the **FXD1/2012/20-(11.4yr).**

Secondary Bond Market:

In May, the secondary market activity increased. Turnover in May, increased by **56.68%** to **KES 102.86Bn ($956.04Mn)** from **KES 65.65Bn ($608.74Mn)** witnessed in April.

April Inflation:



In May, Headline inflation increased to **5.87%** from **5.76%** in April. This increase was driven by the higher food inflation. The CPI increased by **0.20%** from **114.75** in April to **114.98** in May.

Meanwhile, the food and alcoholic beverages index increased by **0.32%** due to an increase in the prices of select food items.

We expect an increase in headline inflation on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

June 14th , 2021

RECOMMENDATION:

17.9- Year FXD1/2019/20

Bid 13.30% to 13.49%

Period of Sale: 02/06/2021 to 15/06/2021.

11.4- Year FXD1/2012/20

Bid 12.58% to 12.74%

Period of Sale: 02/06/2021 to 15/06/2021.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI:
(2019=100):
114.98

May Inflation:
5.87%

Interbank rate (31st May 2021):
4.76%

C.B.R (29th March 2021):
7.00%

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Interbank

Money market remained relatively liquid during the month of May. The interbank rate decreased from **4.83%** as of 30th April to **4.76%** as of 31st May.

During the month, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth.

Currency:

The Kenya Shilling (KES) appreciated against the greenback over the month of May as it gained **0.23%.** On the 31st of May, the KES closed at a value of **KES 107.59/$** versus the **KES 107.84/$** witnessed at the end of April. The continued appreciation of the KES is likely to reduce the cost of imports while encouraging investments within the country.

CBK's usable foreign exchange reserve decreased to **USD 7.48 billion** in May from **USD 7.66 billion** at the end of April, representing a decrease to **4.57 months** of import cover from **4.71 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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